

MIDTERM EXAMINATION

Spring 2010

FIN630- Investment Analysis & Portfolio Management (Session - 5)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

_____ provides an automatic execution of limit orders up to 1,099 shares at the best bid or offer.

- ▶ SuperDOT
- ▶ **NASDAQ**
- ▶ Auction market
- ▶ NYSE direct

Question No: 2 (Marks: 1) - Please choose one

The trading of listed securities in the NASDAQ market is known as:

- ▶ Primary market
- ▶ **Third market**
- ▶ Secondary market
- ▶ Fourth market

Question No: 3 (Marks: 1) - Please choose one

A self-regulatory body that licenses brokers and generally oversees the trading practices of Over the counter(OTC) securities is known as

- _____ .
- ▶ Securities and Exchange Commission (SEC)
 - ▶ **National Association of Security Dealers (NASD)**
 - ▶ Initial Public Offering (IPO)
 - ▶ Offered for Sale (OFS)

Question No: 4 (Marks: 1) - Please choose one

Companies that have historically paid a larger than average percentage of their profit as dividend to their shareholders is known as:

- ▶ Blue chip companies
- ▶ Cyclical companies
- ▶ Growth companies
- ▶ **Income companies**

Question No: 5 (Marks: 1) - Please choose one

Which of the following is suitable for analyzing short term investments?

- ▶ Horizontal analysis
- ▶ Fundamental analysis
- ▶ **Technical analysis**
- ▶ **Ratio analysis**

Question No: 6 (Marks: 1) - Please choose one

A procedure for valuing the price of a stock by using predicted dividends and discounting them back to present value is known as.

- ▶ **Dividend Discount Model**
- ▶ The Residual Earning Model
- ▶ None of the given options
- ▶ Capital Asset Pricing Model

Question No: 7 (Marks: 1) - Please choose one

A good time is characterized by which of following situation?

- ▶ **Market prices moving above the moving average**
- ▶ Market prices moving below the moving average
- ▶ Market prices exactly same as moving average
- ▶ None of the given options

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement is **FALSE** about Elliot Wave Theory?

- ▶ It made extensive use of Fibonacci series
- ▶ It is based on repeating 8 waves' cycles
- ▶ **It identified three movements in security prices**
- ▶ It was proposed by R.N. Elliot

Question No: 9 (Marks: 1) - Please choose one

Which of the following depicts ratio of share price to stockholder equity?

- ▶ Debt coverage ratio
- ▶ Price-to-sales ratio
- ▶ **Price-to-market value ratio**
- ▶ Price-to-book value ratio

Question No: 10 (Marks: 1) - Please choose one

On which of the following financial statements, revenues and expenses can be found?

- ▶ Balance sheet
- ▶ **Income statement**
- ▶ Statement of cash flows
- ▶ Statement of changes in equity

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a basket of stocks that tracks a particular sector, investment style, geographical area, or the market as a whole?

- ▶ **Exchange traded fund**
- ▶ Open-end fund
- ▶ Closed-end fund
- ▶ Unit investment trust

Question No: 12 (Marks: 1) - Please choose one

Which of the following is defined as an investment strategy that involves ongoing buying and selling actions by the investors?

- ▶ Make or Buy strategy
- ▶ **Active strategy**
- ▶ Passive strategy
- ▶ Buy-and-Hold strategy

Question No: 13 (Marks: 1) - Please choose one

Which of the following is an example of brokerage fee charged by a stockbroker?

- ▶ Margin profit
- ▶ Insurance premium
- ▶ **Transaction cost**
- ▶ Capital expenditure

Question No: 14 (Marks: 1) - Please choose one

Which of the following would be considered as the most bullish indicator?

- ▶ A price decrease with heavy volume
- ▶ A price increase with small volume
- ▶ **A price increase on heavy trading**
- ▶ No change in price but an increase in volume

Question No: 15 (Marks: 1) - Please choose one

Financial securities with a maturity of less than a year from their original issue date are sold in which of following market?

- ▶ **Money market**

- ▶ Bond market
- ▶ Equity market
- ▶ Derivative market

Question No: 16 (Marks: 1) - Please choose one

_____ enables market participants to get accurate and up-to-date price information.

- ▶ Fair pricing function
- ▶ **Continuous pricing function**
- ▶ Economic function
- ▶ Exchange function

Question No: 17 (Marks: 1) - Please choose one

The average price of a security or currency over a specified time period used to spot pricing trends by smoothing out the large fluctuations is known as:

- ▶ Moving Average
- ▶ **Standard deviation**
- ▶ Variance
- ▶ Beta

Question No: 18 (Marks: 1) - Please choose one

An investor will purchase shares of companies in the development stage for:

- ▶ Current income
- ▶ **Current income and capital gains**
- ▶ Passive losses to offset other income
- ▶ Capital gains only

Question No: 19 (Marks: 1) - Please choose one

Which of the following industry is **NOT** sensitive to business cycle and price changes?

- ▶ **Defensive industry**
- ▶ Interest sensitive industry
- ▶ Growth industry
- ▶ Cyclical industry

Question No: 20 (Marks: 1) - Please choose one

Which of the following categories is **NOT** a financial statement element?

- ▶ Cash flow
- ▶ Contributed capital
- ▶ Assets
- ▶ **Distributions**

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement about a security is true, if it's beta > 1.0?

- ▶ **Security is more risky than the market**
- ▶ Security is less risky than market
- ▶ Security is exactly as risky as market
- ▶ It is not possible to predict riskiness of a security by beta

Question No: 22 (Marks: 1) - Please choose one

A bad time in market will persist when the market prices move:

- ▶ Above the moving average
- ▶ **Below the moving average**
- ▶ Exactly same as moving average
- ▶ Firstly up then down the moving average

Question No: 23 (Marks: 1) - Please choose one

What does price earning ratio indicate?

- ▶ It indicates how many interest payments could be made with a firm's earnings.
- ▶ **It indicates how much investors pay for Rs.1 earning of the company.**
- ▶ It indicates the percentage of earnings paid to shareholders.
- ▶ It indicates the per share profit available for distribution to the shareholders.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **TRUE** regarding price earning ratio?

- ▶ $P/E = \text{Earnings available to common stockholders} / \text{outstanding shares}$
- ▶ $P/E = \text{Market price per share} / \text{dividend per share}$
- ▶ **$P/E = \text{Market price per share} / \text{earning per share}$**
- ▶ $P/E = \text{Dividend per share} / \text{earning per share}$

Question No: 25 (Marks: 1) - Please choose one

Which of the following stock's price move in opposite direction to that of interest rates?

- ▶ Growth stock
- ▶ Value stock
- ▶ **Interest sensitive stock**
- ▶ Defensive stock

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** a component of ROA?

- ▶ Turnover
- ▶ **Leverage**
- ▶ Sales
- ▶ Net income margin

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement about the types of the orders is **LEAST** accurate?

- ▶ Market orders are orders to buy or sell at the best price available.
- ▶ **Limit orders are orders to buy or sell at or away from the market price.**
- ▶ A stop buy order is used to protect a short position in a security and is placed below the current market price.
- ▶ Limit order must specify a price and a time limit.

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements regarding life cycle of an industry is **MOST** accurate?

- ▶ In the pioneering phase, profits are small or negative.
- ▶ In the mature growth phase, sales growth falls below normal for the first time.
- ▶ During the stabilization phase, growth rates are still above the growth rates in economy.
- ▶ The growth of the substitute products increases total market share & causes profits to increase in the deceleration phase.

Question No: 29 (Marks: 3)

Outline the rationale for sector rotation?

Answer:

- This strategy is involving the shifting sector weights in the portfolio for taking advantage of those sectors
- That are expected to do relatively better and avoid or deemphasize those sectors
- That are expected to do relatively worse.
- Investors employing this strategy are betting that particular sectors will repeat their price performance relative to the current phase of the business and credit cycle.

Question No: 30 (Marks: 3)

What is meant by cooking the books? What measures should be taken to avoid it?

Answer:

Cooking the books is an unethical practice of misrepresenting company's financial standing. When cooking the books, corporations typically manipulate their accounting records and financial statements. Bookmark

Question No: 31 (Marks: 5)

What is the purpose of ratio analysis?

Answer:

Purpose of Ratio Analysis:

- It helps us to check whether a business is doing better this year than previous years.
- Also, it tells us about whether our business is doing better and worse comparatively to other businesses who are doing business of the same things.
- By using the ratio analysis, we come to know our business is how much profitable? Means to know business profit.
- Its purpose is to know the money to pay its bills and we can even tell whether its shareholders should be happy.

Question No: 32 (Marks: 5)

What is meant by the required rate of return?

Answer:

Ratio analysis gives us a complete look over business. The basic purpose of the ratio analysis is to judge where the business stands and also make future planning of the business. Ratio analysis can also help us to check whether a business is doing better this year than it was last year and it can tell us if our business is doing better or worse than other businesses doing and selling the same things. In addition to ratio analysis being part of an accounting and business studies.

Discount rate for valuing stock is called required rate of return. The required rate of return for the stock or any security is the minimum required rate of return to persuade any investor to purchase that stock.

Required rate of return can be calculated by following

Required rate of return = risk – free rate + risk premium

Many different required rate of return for example the average required rate of return of favorite stock is diverse from average rate of return on bonds

Level of required rate of return is changes over time for example:

Required rate of return is changed and inflationary rate is changed because it is a component of risk free rate of return which is also a component of required rate of return.